Wattlebird Bank: Board Paper 14/2026. Youth membership and digital

Prepared for the Board meeting of 12 August 2026. Confidential.

1. Purpose

This paper asks the Board to endorse a dedicated youth app, with an indicative budget of $6.5 million over two years. Management has not yet commissioned research to test the case.

2. Background

Wattlebird is a customer-owned mutual headquartered in Newcastle NSW with 210,000 members and 23 branches. Member satisfaction remains high overall (NPS +41) but has fallen among members under 30 (NPS +6).

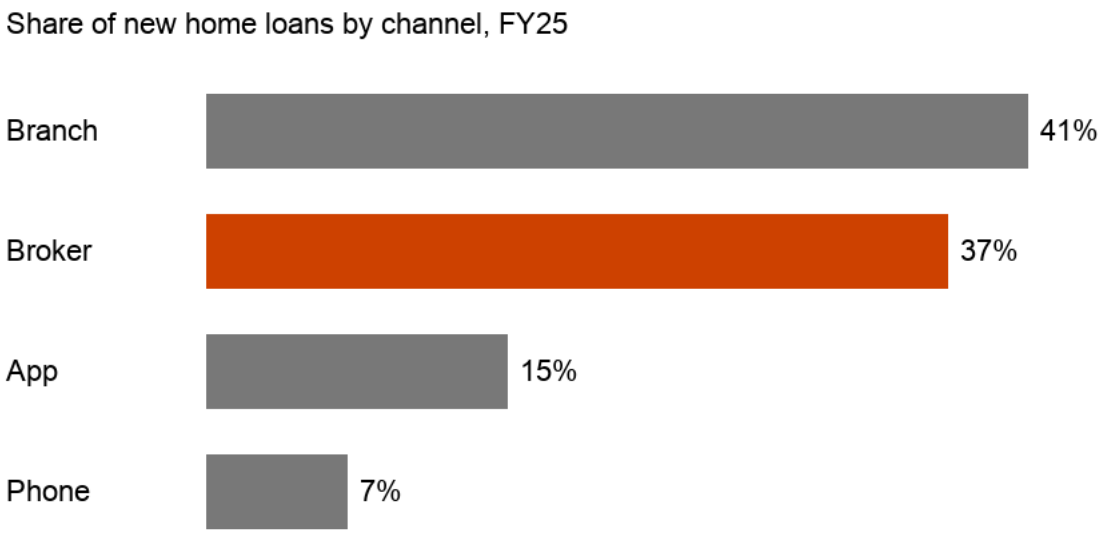
3. Membership trends

Year	Members under 30	Share of base
2021	39,900	19%
2023	34,650	16.5%
2025	29,400	14%

Exit interviews (n=312) show the most common trigger for leaving is a first full-time salary being paid into another bank (48%), followed by moving out of the family home (22%). Only 9% cited the app.

4. Lending

New home loan volumes were flat in FY25. The chart below shows the channel mix.



Source: internal lending data

Broker commissions cost the bank $11.2 million in FY25.

5. Scams and trust

Scam losses reimbursed to members rose from $1.9 million in 2023 to $3.8 million in 2025. Two thirds of reported scam victims were over 60.

6. Previous initiatives

Three youth offers have been launched since 2019: a bonus-rate saver (2019), a cashback debit card (2021) and a higher-rate saver (2023). All three were withdrawn within 18 months. The 2024 app refresh lifted app store ratings from 3.1 to 4.4 with no measurable change in youth churn.

7. Constraints

The core banking platform will be migrated in the second half of 2027; no changes to core products are possible before then. APRA has flagged operational resilience as a focus area for the 2026-27 review.

8. Recommendation

That the Board endorse the youth app business case for development in FY27, and note that the incoming CEO (started July 2026) has asked for a clear strategic direction by March 2027.